Selecting an Industry

When choosing an industry, it would be prudent for the investor to bear in mind or determine the following details:

1. Invest in an industry at the growth stage.
2. The faster the growth of a company or industry, the better. Indian software industry, for example, was growing at a rate of more than 50 per cent per annum at the dawn of the new millennium.
3. It is safer to invest in industries that are not subject to governmental controls and are globally competitive.
4. Cyclical industries should be avoided if possible unless one is investing in them at the time the industry is prospering.
5. Export oriented industries are presently in a favourable position due to various incentives and government encouragement. On the other hand, import substitution companies are presently not doing very well due to relaxations and lower duties on imports.
6. It is important to check whether an industry is right for investment at a particular time. There are sunrise and sunset industries. There are capital intensive and labour intensive industries. Each industry goes through a life cycle. Investments should be at the growth stage of an industry and disinvestment at the maturity or stagnation stage before decline sets in.